



International accounting standards

With increasing globalization, international accounting standards, assumptions, and principles that help to make accounting easier across borders are essential for preparing financial statements.

Accounting standards					
	ECONOMIC ENTITY ASSUMPTION	MONETARY UNIT ASSUMPTION	GOING CONCERN ASSUMPTION	TIME PERIOD ASSUMPTION	FULL DISCLOSURE PRINCIPLE
Standard	Transactions by businesses owned by one group or individual are kept separate from transactions made by other companies owned by that group or individual.	International economic activity is expressed in monetary terms, with all units assumed to be quantifiable, constant and not affected by inflation or deflation.	The financial activities of a business will carry on indefinitely.	Different operations of a business can be divided into arbitrary time periods.	All information, past, present, or future, which could affect financial performance must be disclosed, usually in the notes of financial statements.
Example	If a group owns two companies, one manufacturing televisions and the other retailing cell phones, the financial statements for each company are separate.	Current manufacture of baseball bats is compared financially to manufacture that was carried out 30 years ago, without taking inflation into account.	Oil reserves will never run out; gold in a gold mine will last forever; a manufacturer will not go out of business.	Sales of toothbrushes can be measured daily, monthly, quarterly, and so on (when in reality they are constant, or subject to variations that are not predictable).	If a coconut importer knows that a hurricane has damaged next year's coconut crop, it must mention this in its financial statement.
Purpose	Helps the group of companies and investors compare financial statements of each company with its competitors.	Shows as much of the company as possible in financial statements, as everything a business owns can be quantified.	Offers a model for businesses to look at the long-term future of their operations.	Makes financial reporting easier.	Provides full information for shareholders and potential investors.
Pros and cons	✓ Largely beneficial ✗ Companies that operate in the same group but in different countries must prove standard market rates used for intra-company trading.	✗ It is hard to measure monetary value of, for example, the fastest worker at the baseball-bat production plant. ✗ It is hard to compare across time because of inflation/deflation.	✗ It is not applicable to companies approaching liquidation, as it assumes that any assets are worth their original value.	✓ The more often economic activity is measured, the easier it is to identify trends. ✗ Measuring activity often means more work, and such data may multiply errors.	✗ Companies may try to "bury" information likely to put off investors or lower the share price in the notes. ✗ Not all countries are equipped to root out transgressors.